

stances.⁵ It would be logical for the common stock to elect the majority of the board as long as preferred dividends were regularly paid and equally logical that whenever the full dividend was not paid, on either a cumulative or noncumulative preferred issue, the right to choose the majority of the board should pass to the preferred stockholders.⁶

Adequate protection for preferred issues should require that voting control pass to the holders in the event not only of default in dividends but also of nonpayment of the sinking fund or the failure to maintain working capital as stipulated. A few charters, *e.g.*, those of Bayuk Cigars and A. G. Spalding, afford this threefold remedial right to the preferred stockholders. In our view, this practice should be standard instead of exceptional.

Value of Voting Control by Preferred Stock May Be Questioned. Viewing the matter realistically, it must be admitted that the vesting of voting control in holders of a preferred issue does not necessarily prove of benefit to them. In some cases, perhaps, no effective use can be made of this privilege; in other cases the holders are too inert—or too poorly advised—to protect their interests even though they have power to do so. These practical limitations may be illustrated by a case in point, *viz.*, the Maytag Company.

In 1928 this enterprise (manufacturing washing machines) was recapitalized and issued the following securities:

100,000 shares of \$6 Cumulative First Preferred.

320,000 shares of \$3 Cumulative Preference (Second Preferred).

1,600,000 shares of common.

Approximately 80% of all these shares were received by the Maytag family. Through investment bankers they sold to the public their hold-

⁵ So far as we have been able to determine, such issues are comparatively rare. See, however, North American Company Preferred and the new preferred stock of Ogden Corporation (successor to Utilities Power and Light Corporation). It seems probable that more such issues will be forthcoming under S.E.C. auspices. On the general subject of preferred stockholders' voting rights see W. H. S. Stevens, "Voting Rights of Capital Stock Shareholders," XI *The Journal of Business of the University of Chicago*, 311–348, October, 1938.

⁶ Section 216–12(a) of Chap. X of the Bankruptcy Act of 1938 apparently requires that preferred shares issued thereunder be given the right to elect some directors in the event of any default in dividends.